QLmonthly March 2026 [1]

Kathrin Ellieroth[1,2] Amanda Michaud[2]

[1]Colby College

[2]FRB- Minneapolis

[1]Based on Ellieroth & Michaud, "Quits, Layoffs, and Labor Supply" Institute Working Paper 94 (2024)

Contents

1. Recent Developments in Layoffs, Quits, and Job Finding
   Our reading: Labor market is steady
2. This Month's Special Topic: Re-visit immigration
   How are non-citizens faring compared to U.S. citizens in the current labor market?

Layoffs Stable with Signs of Decline

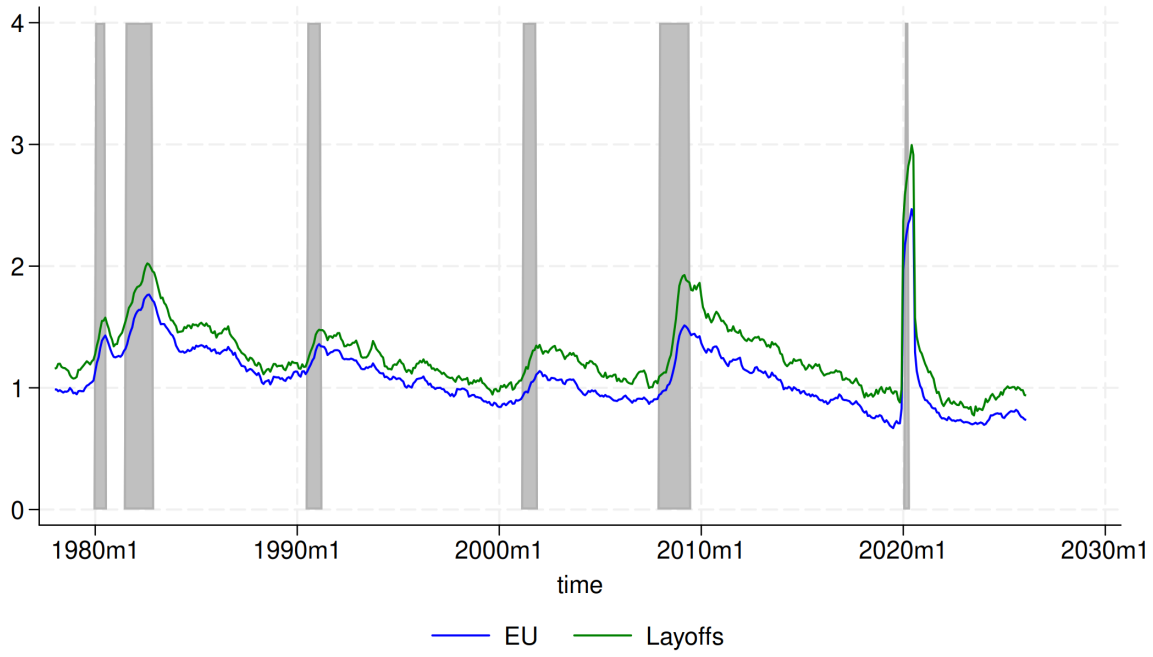


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- Layoffs and flows from Employment to Unemployment (EU) stable with signs of decline.
- Layoffs and EU flows show parallel movement, no longer diverging.

Quits Stable

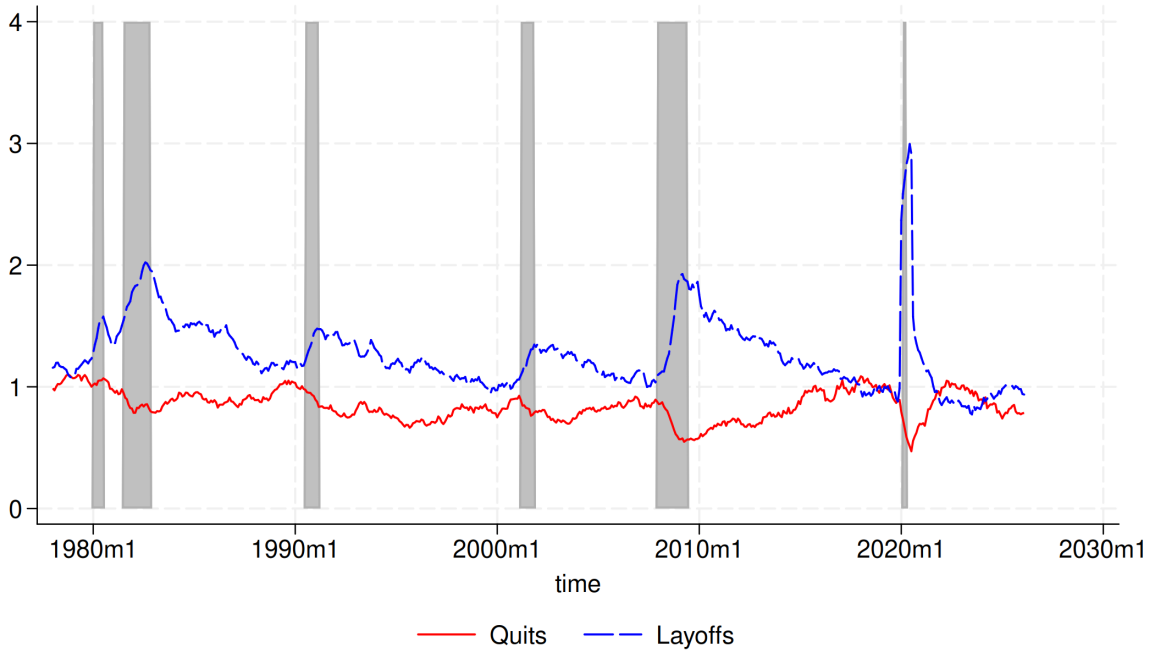


Figure: Quits and Layoffs to non-employment

- Quit rates appear stable with minor fluctuations in 2025.

Have jobs been getting harder to find? Not from Out of the Labor Force!

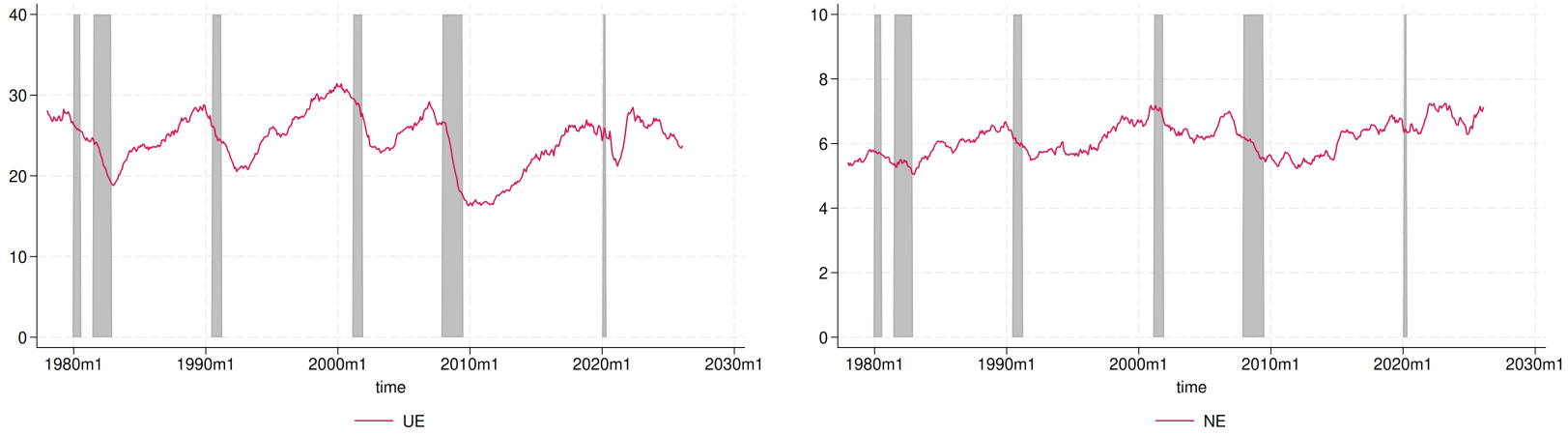


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- Divergence of job finding rates from unemployment (U) and non-participation (N) continues
- Job finding rates for the unemployed continue to decline and finding rates for non-participants continue to increase

What do we make of this?

Recap: Household survey (CPS) indicates:

- Quits and layoffs signal a steady labor market.
  - Both quits and layoffs appear to be stable.
- Job finding rates from U and N diverge.
  - Increasing share of workers are hired from non-participation.
- Layoffs and EU flows in sync
  - Higher than usual labor force exits of 2025 have declined.

Our reading: Flows signal stable labor market.

Discussion of the Month

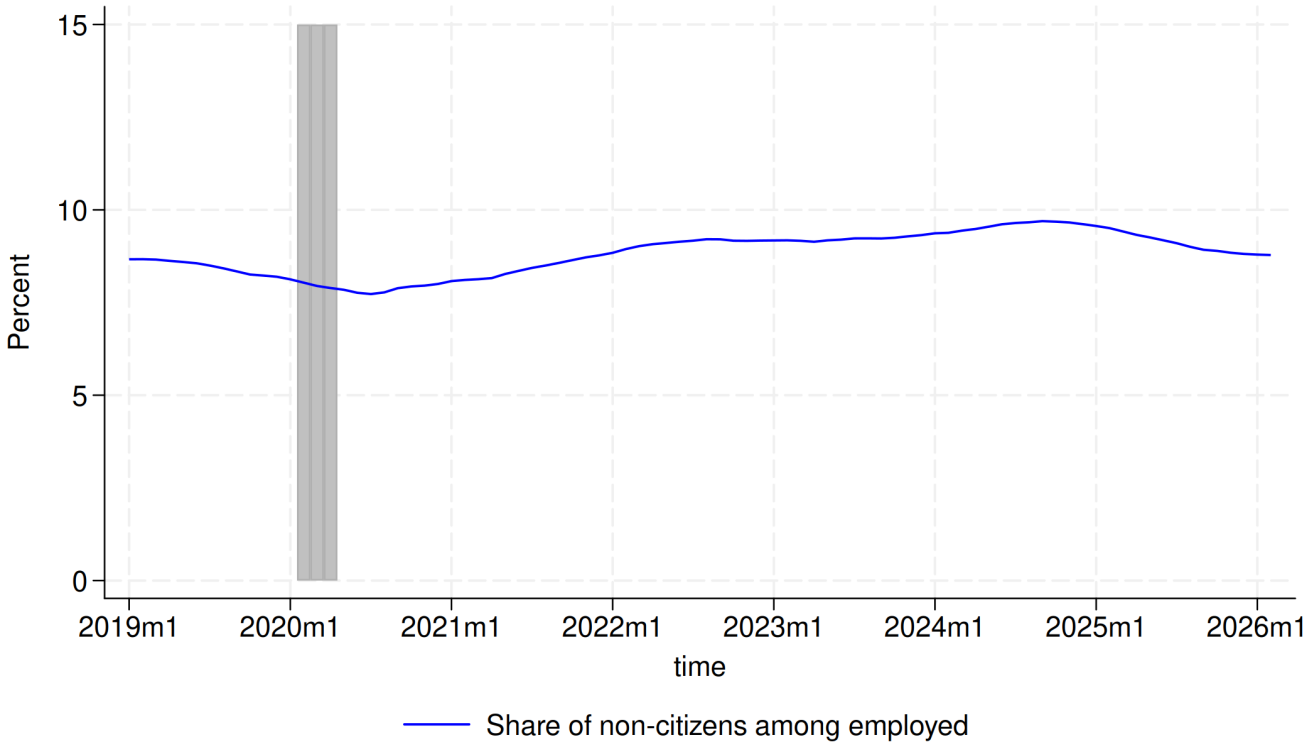
Re-visit immigration: How are non-citizens faring compared to U.S. citizens in the current labor market?

Terminology: U.S. citizenship in the CPS data

- Let's start by defining how the CPS distinguishes between U.S citizens and non-citizens.
  - U.S. citizen: Born in U.S. or U.S. outlying areas; citizens by virtue of being born abroad to American parents
  - Naturalized citizen
  - Not a citizen
- We compare prime-age workers with **U.S. citizenship** (U.S. citizens + naturalized citizens) with workers who are **non-citizens**
- We focus on the period 2019 until now (02/2026)

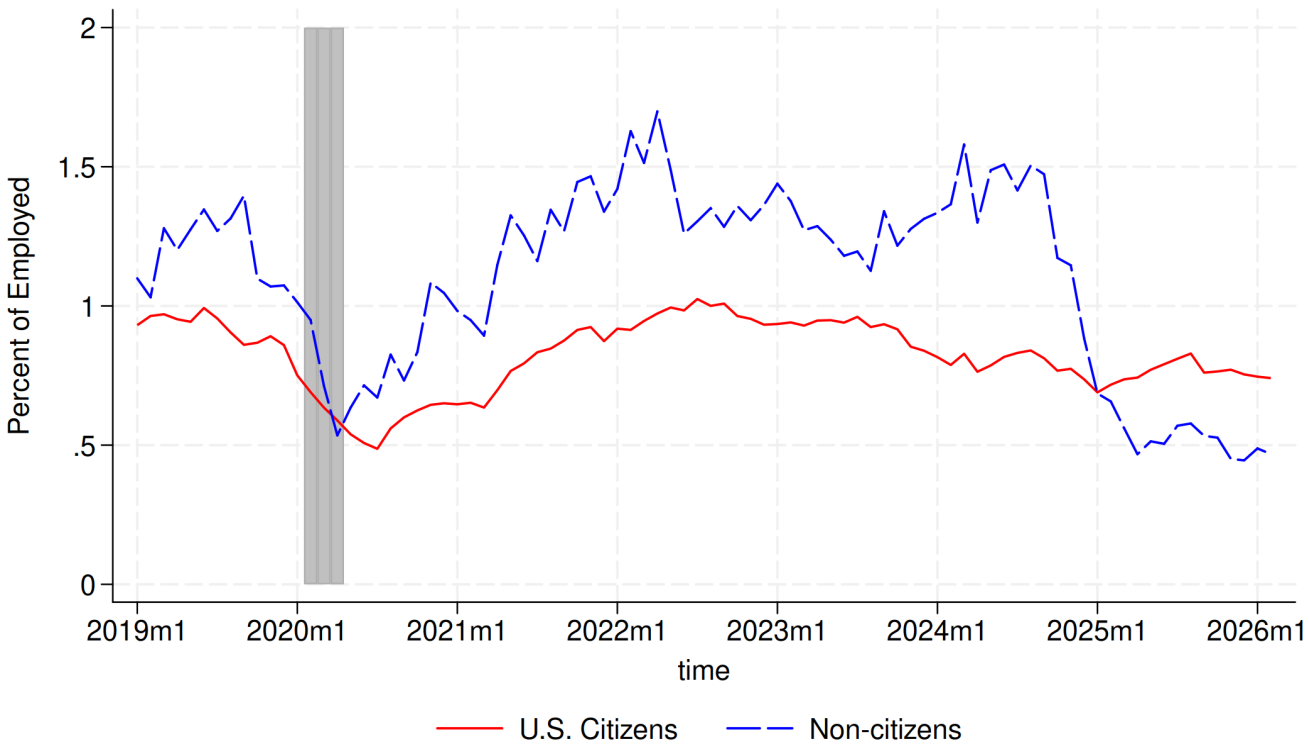
Employment Trends

- Between 2019 and 2025, 8.83% of all employed workers were non-citizens
- This number has been steadily declining since late 2024 and is currently just below average.



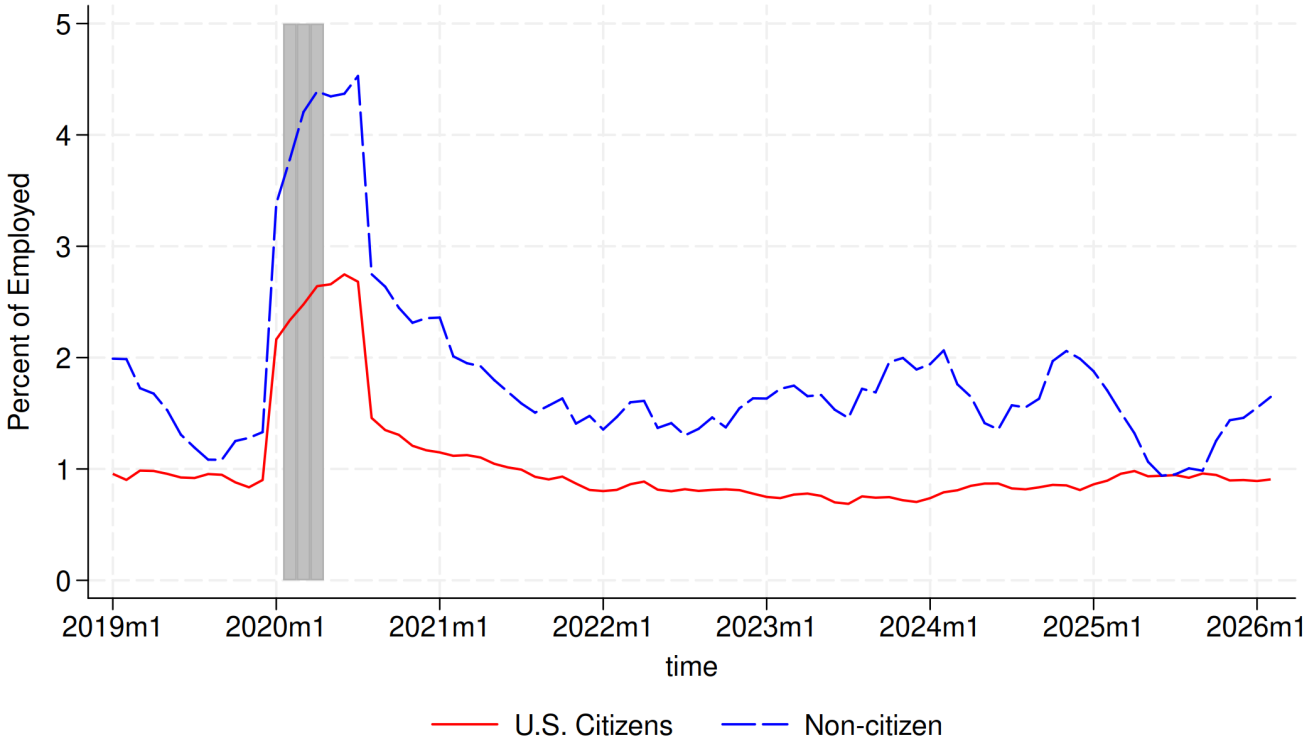
Quits

- However, the slow decline in the share of employed non-citizens masks drastic changes in quits and layoffs
- The average quit rate over the entire time period for non-citizens is 1.1%, it is currently 0.5%.
- We do not see a comparable decline in quits among U.S. citizens



Layoffs

- This drop in quits is accompanied by an increase in layoffs of non-citizens compared to U.S. citizens.
- While this is still well below the average, it shows a strong upward trend since mid-2025.



What do we make of this?

1. **Flows are important to look at:** One reason for the *slow* decline in employment for non-citizens is the dampening effect of the decline in quits.
2. **Employment Trends:** If layoffs continue to rise, the share of non-citizens among the employed is likely to decline further at a potentially faster rate as quits cannot drop much further.
3. **U.S. citizens**: Quits and layoffs are relatively stable for U.S. citizens over the past 3 years and less volatile than data for all prime-age workers suggests.